Alphabet Investment Due Diligence

NEXUS RESEARCH DESK | PUBLIC EVIDENCE REVIEW

DOCUMENT CONTROL	DETAIL
Target	Alphabet
Transaction	Public evidence review for public equity
As-of date	6 November 2026
Currency / unit	USD millions unless stated
Prepared by	Nexus Research Desk
Review status	Research draft. Independent sign-off pending
Linked financial workbook	alphabet-due-diligence.xlsx

Research as of 6 November 2026. Filed facts, company announcements and analyst assumptions are identified separately.

1 Executive Investment Assessment

DECISION ITEM	ASSESSMENT AND OPEN ITEMS
Preliminary disposition	Defer pending verification
Core thesis	Search and YouTube provide distribution and cash generation. Cloud and Gemini create monetization paths, but underwriting requires evidence that AI answers and cloud demand earn back incremental capacity costs.
Indicative transaction	No transaction terms or executable price assumed.
Investment test	Search ad monetization and traffic acquisition costs
Conditions precedent	Stress Search revenue per query and traffic acquisition costs together with management's capital expenditure outlook.
Disconfirming evidence	Higher query volume can coexist with lower advertising value per query, and cloud growth can mask rising depreciation, power and third-party capacity costs.

2 Business and Competitive Position

Alphabet enters the AI transition with a strong advertising cash engine. The research question is whether new revenue keeps up with infrastructure spending and changes to distribution. Search and YouTube provide distribution and cash generation. Cloud and Gemini create monetization paths, but underwriting requires evidence that AI answers and cloud demand earn back incremental capacity costs.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Market size	Segment filings and independent demand data	Build a bottom-up range. No verified TAM is assumed.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Competitive advantage	FY2025 10-K · Note 2 Revenue	Google Cloud revenue rose from $43.2B in 2024 to $58.7B in 2025. Google Services still represented the majority of consolidated sales, so Search monetization remains central.
Revenue concentration	Q3 2026 management earnings call	Cash capex rose from $52.5B to $91.4B in 2025. On its October 2026 earnings call, management kept its 2026 cash capex outlook at $195B–$205B and expected another significant increase in 2027.
Growth quality	US Department of Justice · Search case docket	The DOJ's case docket records the final judgment and implementation filings. Model changes in default distribution and syndication terms separately from changes in user demand.
Regulation	Public filings and relevant case dockets	Review the search and ad-tech dockets separately. Assess dual-class voting, data-use obligations, model security and jurisdiction-specific tax exposures.

3 Financial Diligence and Earnings Quality

USD millions. Audited calendar-year financials through 2025. Later Q3 2026 disclosure is separate. Historical depreciation is property and equipment depreciation only. FY2023 revenue 307,394, operating income or loss 84,293, and operating cash flow 101,746, with cash capex of 32,251. FY2024 revenue 350,018, operating income or loss 112,390, and operating cash flow 125,299, with cash capex of 52,535. FY2025 revenue 402,836, operating income or loss 129,039, and operating cash flow 164,713, with cash capex of 91,447.

RECONCILIATION	SOURCE	PROCEDURE	OPEN ISSUE
Revenue	Primary issuer filing	Tie annual and interim periods separately.	Check mix and repeatability.
Operating earnings	Filed results when available	Separate operating performance and financing remeasurement.	Independent QoE pending.
Working capital	Cash flow and balance sheet notes	Bridge payment timing and customer/vendor balances.	Normalize before forecasting.
Cash conversion	Operating cash flow and cash capex	Compare cash measures and assess noncash lease additions.	Check cash obligations separately.
Debt-like items	Financing and commitments notes	Reconcile debt, leases, and preferential claims.	Equity bridge pending.

4 Valuation and Market Comparisons

The workbook projects five years of unlevered cash flow from reported revenue and editable operating assumptions. An assumed discount rate and perpetual growth drive enterprise value and a sensitivity grid. This is a conditional scenario. A dated market price and complete equity bridge are required before judging upside. At a 10.0% discount rate and 3.0% terminal growth, the scenario enterprise value is $648.8 billion at FY2025 year end. The discounted terminal value accounts for 101% of that result.

METHOD	BASIS / PROCEDURE	KEY SENSITIVITIES	VERIFICATION
DCF	Five-year FCFF scenario	Growth, margin, capital intensity and discount rate	Illustrative assumptions
Trading peers	Pending dated comparable inputs	Business mix, fiscal periods, equity and debt bridge	No multiple published
Precedent M&A	Pending comparable transactions	Control premium, timing and rights	No multiple published
LBO	No control transaction assumed	Sponsor entry, debt covenants and exit terms	Out of scope

5 Financing and Capital Requirements

No control transaction is assumed. Evaluate liquidity after infrastructure commitments and shareholder returns. A full equity bridge would need dated securities, debt and lease balances.

VALUE-CREATION LEVER	OPERATING KPI / CONTROL	100-DAY DILIGENCE PRIORITY
Retention and upsell	Search ad monetization and traffic acquisition costs	Review cohorts and concentration.
Margin improvement	Cash capex, depreciation and Cloud operating margin	Bridge unit cost and reinvestment.
Add-on M&A	No acquisitions underwritten	Review only identified opportunities.
Debt and commitments	Implementation of U.S. search distribution remedies	Reconcile obligations by due date.
Exit and liquidity	No exit price assumed	Verify rights and financing access.

6 Quantitative Research and Model Checks

No portfolio return statistics are published without an aligned, point-in-time total-return series. The scenario narratives describe mechanisms to test. They carry no assigned probabilities.

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Beta and tracking error	Use aligned total returns and an appropriate benchmark.	Pending verified series
VaR and CVaR	Evaluate over a sufficient sample and stress regimes.	Withheld
Drawdown	Use date-aligned peak-to-trough returns.	Withheld

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Forecast validation	Check fiscal alignment and reconcile inputs to filings.	Independent review pending
Scenario analysis	Base case. Search monetization and Cloud growth partly offset a sustained reinvestment cycle.	Stress against bear case.

7 Legal Tax Cyber and Governance

WORKSTREAM	MINIMUM DOCUMENTS	RED FLAG / CLOSING GATE
Legal and corporate	Filings, governance documents and litigation dockets	Review the search and ad-tech dockets separately. Assess dual-class voting, data-use obligations, model security and jurisdiction-specific tax exposures.
Debt and commitments	Credit and commercial contracts	Test maturities, remedies and liquidity.
Tax	Tax disclosures and relevant jurisdiction filings	Reconcile recurring taxes and disputes.
Cyber and privacy	Incident disclosures and security controls	Review independent assurance.
Governance and people	Board, voting and succession disclosures	Confirm control and approvals.

8 Risk Register and Decision Gates

MATERIAL RISK	INHERENT SEVERITY	REQUIRED MITIGATION	GATE
Search monetization and infrastructure commitments	High	Stress Search revenue per query and traffic acquisition costs together with management's capital expenditure outlook.	Open
Upside case	Scenario	AI queries monetize without eroding Search contribution, and Cloud absorbs capacity at attractive margins.	Test
Downside case	Scenario	Lower yield per query and adverse distribution changes coincide with elevated capital intensity.	Test
Liquidity and cash timing	High	Build a dated commitments and cash bridge.	Open
Model risk	High	Review source dates, assumptions and scenario outputs.	Open

9 Evidence Log and Review Workflow

ITEM / ID	OWNER / SOURCE	STATUS	DECISION RELEVANCE
FIN-01 Accounts	Issuer filings or auditor	Reviewed publicly	Audited calendar-year financials through 2025. Later Q3 2026 disclosure is separate. Historical depreciation is property and equipment depreciation only.
FIN-02 Earnings quality	Finance diligence	Open	Reconcile operating profit and cash.
COM-01 Commercial review	Research desk	Open	Search ad monetization and traffic acquisition costs
LEG-01 Governance	Legal diligence	Open	Confirm decision rights and exposures.
DEAL-01 Financing	Treasury diligence	Open	Implementation of U.S. search distribution remedies

10 Investment Committee Resolution

Proposed research disposition is defer. Stress Search revenue per query and traffic acquisition costs together with management's capital expenditure outlook. This report records no investment approval or reviewer sign-off.

SIGN-OFF	NAME / DATE	DECISION / COMMENTS
Lead investment professional	Pending	No sign-off recorded
Financial diligence lead	Pending	No sign-off recorded
Legal / compliance	Pending	No sign-off recorded
Risk / quantitative review	Pending	No sign-off recorded
Investment committee chair	Pending	No sign-off recorded

Appendix Workbook Guide and Sources

Read START HERE and Inputs before editing. The Financials tab separates historical evidence from forecasts. Blank schedules represent unavailable or out-of-scope inputs.

Source references follow. Reconcile changes to the reporting period and retain a dated record of the evidence reviewed.

FY2025 10-K · Note 2 Revenue

Q3 2026 management earnings call

US Department of Justice · Search case docket

2026-02-05 Fiscal 2025 annual filing

2026-10-28 Q3 2026 results and capital expenditure outlook